

TCN AI: Real, or Slides?

TO **Benefit Street Partners, Investment Committee**
 FROM **K. Slowinski, Independent AI & Technology Advisor**
 RE **TCN (Project Teton): is the AI a real moat?**
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MY TAKE

TCN is a solid calling platform. It has no AI moat, and it's behind on AI. The "AI + compliance moat" the CIP and the Palo Alto VDD are selling is mostly slides. Their AI agents had **zero customers and zero revenue at the end of 2025** (first customer April 2026). Pay for the calling business. Don't pay for AI they don't have yet.

WHAT'S REAL (WORTH PAYING FOR)

- **~\$60M ARR, ~37% 2026E growth, ~20-24% EBITDA.** Bootstrapped, Rule-of-60. This is a good business.
- **Sticky.** ~98% logo retention and a dialer that's genuinely hard to rip out.
- **Consumption pricing, not per-seat.** If AI volume runs through their pipes, they make money on it instead of losing seats. It's the best thing they've got.

WHAT'S HYPE (DON'T PAY FOR IT)

- **The "AI moat" is slides.** Agentic AI had **0 customers and \$0** at end-2025 (first customer April 2026, ~\$1M *planned* for the year). They own one real in-house model, SmartAMD, and it just detects answering machines. The rest of the AI is rented (GPT, Gemini, Whisper).
- **They're behind, and the new players are built differently.** Decagon, Sierra and Skit.ai are agent-first. TCN is bolting bots onto a dialer.
- **The "compliance moat" is table stakes.** Everyone sells it: LiveVox, Five9, Convoso, and AI-native Skit.ai. You can buy it off the shelf (DNC.com, Gryphon). TCN's compliance depth is a real but modest edge, and it's a vertical/legal edge, not an AI one.
- The Palo Alto VDD rates almost every finding a perfect score. That's a second sales deck, not diligence.
- **The AI won't set itself up.** Standing up agents takes forward-deployed engineering. Sierra and Decagon charge \$50-200K and take 8-16 weeks. TCN's mid-market shops can't configure this alone, and TCN runs lean on services. So AI revenue is services-gated, not clean SaaS.

THE REAL RISK

The new AI players can be the phone line themselves. This isn't theory. Skit.ai already sells **its own telephony** and runs the whole collections call today. If a customer points one of them at their numbers, TCN is just pipes. Nobody has stress-tested this, and it's the question I'd want answered first.

WHAT I'D DO

- It's a good calling business. Pay for that: switching costs, consumption pricing, last independent standing after LiveVox went to NICE. Treat the AI as an option, not the reason to buy.
- **Don't pay an AI premium.** One question decides it: do they stay in the call path when AI agents replace the seats?

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Prepared for Benefit Street Partners. Based on the Project Teton CIP, the Palo Alto Strategy Group Commercial VDD, competitor public materials, and independent technical analysis. Figures per CIP/management, unaudited. Not investment advice. Confidential, do not distribute.